Importance of Studying Values in Organisational Behaviour

Organisational Behaviour

Values are enduring beliefs about what is desirable, important, right, or appropriate.

They influence how employees perceive situations, make decisions, and behave at work.

Understanding values helps managers explain and manage individual differences.

What Are Values?

Values are basic beliefs that guide judgments about what is good, desirable, or acceptable.

They develop through family, education, society, culture, and personal experiences.

Values are relatively stable, but they can change through major experiences and socialisation.

Examples: honesty, achievement, security, freedom, equality, loyalty, and responsibility.

Why Values Matter in OB

Values act as a psychological guide for employee behaviour.

They influence attitudes, perceptions, motivation, ethical choices, and relationships.

Different value priorities can explain why employees respond differently to the same workplace situation.

Managers who understand values can design better people-management practices.

1. Values Influence Employee Behaviour

Values provide internal standards that guide behaviour.

Employees tend to choose actions that are consistent with their important values.

Example: an employee who strongly values integrity may refuse to misrepresent sales figures.

Therefore, values help explain differences in workplace behaviour.

2. Values Influence Attitudes and Job Satisfaction

Employees are more likely to experience positive attitudes when their values fit the work environment.

A mismatch between employee and organisational values can produce dissatisfaction and frustration.

Example: an employee who values autonomy may dislike a highly controlling workplace.

This makes value congruence important for employee engagement and retention.

3. Values Influence Motivation

Employees are not motivated by the same things.

Achievement-oriented employees may respond strongly to challenging goals and recognition.

Security-oriented employees may value stable employment, benefits, and predictable working conditions.

Managers can improve motivation by recognising differences in employee value priorities.

4. Values Guide Ethical Decision-Making

Values provide standards for evaluating right and wrong.

Values such as honesty, fairness, responsibility, and respect can encourage ethical conduct.

Conflicting values can create ethical dilemmas.

Understanding values helps managers create ethical climates and reinforce desired behaviour.

5. Values Explain Individual Differences

Employees differ in what they consider important.

One employee may prioritise career achievement; another may prioritise relationships or security.

The same reward or management practice may therefore have different effects on different employees.

Values help managers avoid a 'one-size-fits-all' approach to people management.

6. Values Shape Organisational Culture

Shared values form an important foundation of organisational culture.

Values such as innovation, customer focus, teamwork, quality, and integrity can become embedded in organisational practices.

Strong alignment between stated and enacted values can strengthen culture.

Misalignment can create cynicism and reduce employee trust.

7. Values Influence Leadership and Relationships

Leaders need to understand what employees value in order to communicate and motivate effectively.

Differences in values can affect expectations about authority, participation, feedback, and teamwork.

Shared values can strengthen trust and cooperation.

Value differences, when misunderstood, can contribute to interpersonal conflict.

8. Values Help Manage Diversity

Modern organisations bring together employees with diverse cultural, generational, professional, and personal backgrounds.

Different value systems can influence communication and workplace expectations.

Understanding values promotes respect and reduces premature judgments.

Managers should use values as a basis for dialogue—not stereotypes.

Values and Person–Organisation Fit

Person–organisation fit refers to the compatibility between an employee and the organisation.

High value fit can support satisfaction, commitment, cooperation, and retention.

Low value fit can contribute to dissatisfaction, conflict, and turnover intentions.

Recruitment and socialisation should therefore communicate the organisation's actual values clearly.

Values in the OB Process

VALUES

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Perceptions and interpretation of situations

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Attitudes and motivation

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Decisions and interpersonal behaviour

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Performance, commitment, cooperation, and other work outcomes

Managerial Example

Situation: A company introduces a strict performance-ranking system.

Employee A values achievement and competition → may welcome the system.

Employee B values cooperation and relationships → may perceive it as harmful to teamwork.

Managerial lesson: the same HR practice can produce different reactions because employees have different value priorities.

Connection with Schwartz and Hofstede

Schwartz Value Theory: helps understand human value priorities and motivational goals.

Hofstede's Cultural Dimensions: helps understand broad patterns in national cultures.

Together, they help managers interpret differences in employee preferences and workplace behaviour.

Important: neither framework should be used to stereotype individuals.

Key Takeaways

Values are a fundamental determinant of workplace behaviour.

They influence attitudes, motivation, ethics, decision-making, leadership, and relationships.

Value congruence can strengthen employee and organisational outcomes.

Understanding value differences improves managerial effectiveness.

Good managers recognise differences in values while maintaining clear organisational standards.